CASCADIA ANALYTICS

INVESTMENT SCORECARD

PLPC

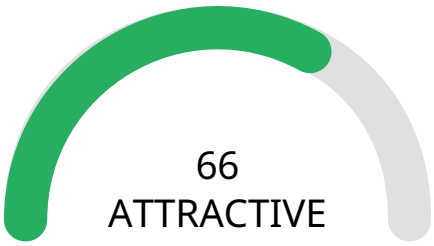
Preformed Line Products Company (NASDAQ)

As-of: 23-Oct-2026 | Latest Filing: Q2 FY26 (10-Q) | Currency: USD

$330.46 [Mkt 23-Oct-26]

Market Cap: $1.68B [Mkt 23-Oct-26]

Attractiveness Score



Confidence: **Medium** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 64

Genuine niche moat: utilities spec PLPC hardware into blueprints with safety certifications, creating high switching costs. Balance sheet is fortress-like with net cash and 0.07x debt-to-equity. But margins are thin for a manufacturer (8.2% op margin) and scale is small, which caps pricing power. Our model's 2030 EBIT margins (Base 17.8%) sit well above the best filed full-year GAAP operating margin of 12.6%; the path rests on grid-modernisation operating leverage and spec-in mix rather than a quantified bridge, and we flag it as the model's most generous assumption.

2. Recent Trend — 80

Textbook recovery: record Q2 sales of $212.7M up 25%, EPS up 75%, fourth consecutive quarter of gross margin improvement to 34.3%, backlog up 22%. The 2024 down year (-11% sales) is firmly in the rearview.

3. Forward Growth — 68

Grid modernization, data center power demand, and broadband buildout are real multi-year tailwinds. New Poland and Spain capacity plus bolt-on M&A add optionality. But the company gives no guidance and coverage is thin, so visibility is limited.

4. Valuation — 58

DCF base $332.19 implies +1% upside and the market prices only about 6.8% growth, between our bear case and our base case. That is the interesting part.

The offset: 42x trailing P/E is nearly 4x the 5-year median of 12.1x, so the multiple assumes the recovery is structural.

5. Catalysts & Risk 58

Q3 earnings in late October and the Poland ramp are near-term positives with the stock 30% off its high. Tariff headwinds on steel and aluminum, cyclical utility capex, and thin trading liquidity are the counterweights. Skew is positive but fragile.

Investment Thesis

- **Record Quarter, Real Moat:** Q2 delivered record $212.7M sales (+25% YoY) and record $4.49 EPS (+75% YoY) [10-Q Q2 FY26]. Utilities spec PLPC hardware into their blueprints with rigorous safety certifications, creating switching costs competitors cannot easily dislodge.
- **Market Prices Caution:** Our DCF base of $332.19 implies +1% upside from $330.46 [Mkt 17-Oct-26], while the reverse DCF says the market prices about 6.8% growth, between our 4% bear case and our 10% base case. The stock sits 30% below its $505 high despite accelerating fundamentals.
- **Multiple Demands Respect:** The honest offset: 42x trailing P/E is nearly four times the 5-year median of 12.1x [Mkt 17-Oct-26]. 2024 proved this business can shrink 11% in a down cycle. The setup works if the grid cycle is structural; size the position for the cycle risk.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q2 FY26)	$212.7M [10-Q Q2 FY26]	+25.0% [10-Q Q2 FY26]	Up
Gross Margin (Q2 FY26)	34.3% [10-Q Q2 FY26]	+1.6 pts [10-Q Q2 FY26]	Up
EPS Diluted (Q2 FY26)	$4.49 [10-Q Q2 FY26]	+75% [10-Q Q2 FY26]	Up
Revenue (FY2025)	$669.3M [10-K FY25]	+13% [10-K FY25]	Up
Backlog (YE2025)	$232.8M [10-K FY25]	+22% [10-K FY25]	Up
Cash (YE2025)	$83.4M [10-K FY25]	+45.7% [10-K FY25]	Up
Long-Term Debt (YE2025)	$32.9M [10-K FY25]	n/a [10-K FY25]	Flat

Historical Financial Trend

Metric	FY21	FY22	FY23	FY24	FY25
Revenue	$517M [10-K FY21]	$637M [10-K FY22]	$670M [10-K FY23]	$594M [10-K FY24]	$669M [10-K FY25]
Gross Margin	32.1% [10-K FY21]	33.8% [10-K FY22]	35.1% [10-K FY23]	32.0% [10-K FY24]	31.2% [10-K FY25]
Op Margin	9.2% [10-K FY21]	10.9% [10-K FY22]	12.6% [10-K FY23]	8.6% [10-K FY24]	8.2% [10-K FY25]

Valuation

Absolute (6/10)

P/E (ttm) ~42x [Mkt 17-Oct-26]
DCF Base $332.19 (+1%)
PEG 7.7 [Mkt 17-Oct-26]

Trailing multiple looks rich, but DCF says the market prices only about 6.8% growth, between our bear and base cases. Forward earnings power, not trailing earnings, is the real debate.

Versus Peers (5/8)

HUBB 27.6x P/E [Peers 17-Oct-26]
NVT 41.5x P/E [Peers 17-Oct-26]

PLPC trades in line with quality electrical peers on trailing earnings, but peers have deeper coverage, larger scale, and steadier growth.

Versus History (3/7)

5-yr median P/E 12.1x [Mkt 17-Oct-26]
10-yr avg P/E ~15x

Current 42x is nearly 4x its own history. The multiple assumes the earnings recovery is structural rather than cyclical, which 2024 argues against.

Catalyst Timeline

Late Oct 2026 [Cons]
Q3 FY26 Earnings (Positive): Record Q2 sets a high bar. Watch gross margin trajectory and tariff commentary.

Late 2026 [Cons]
Poland Facility Ramp (Positive): New European capacity coming online to serve grid demand.

Top Risk Factors (Item 1A)

1. Tariff Exposure: Management cited tariffs and tariff-related LIFO costs as a headwind pressuring margins, even with a mostly domestic production base. [10-Q Q2 FY26]

2. Cyclical Demand: Revenue fell 11% in 2024 when utility spending paused. Demand is cyclical and tied to utility capex budgets the company does not control. [10-K FY24]

> **2027** [Cons]
> Data Center Power Demand (Positive): Transmission hardware demand from AI data center buildout is a structural tailwind.

What Would Change Our Score

Q3 FY26 earnings in late October are the near-term test: another record quarter with margin expansion supports the base case ($332.19). A tariff-driven margin miss or a demand pause would validate the 42x multiple skeptics and push the stock toward the bear case ($254.51).

3. Rich Multiple: At 42x trailing P/E against a 5-year median of 12.1x, any growth stumble would reprice the stock hard. The stock already fell 30% from its $505 high. [Mkt 17-Oct-26]

4. Thin Coverage and Liquidity: Only two analysts cover the stock and average daily volume is light, which amplifies drawdowns when sentiment turns. [Cons]

Forward Growth Drivers

- Grid modernization and transmission expansion, a multi-trillion-dollar investment cycle across North America [Cons]
- Utility spec-in designs with safety certifications create high switching costs and a durable niche moat [10-K FY25]
- Data center power demand and renewable integration lifting energy segment volumes [10-Q Q2 FY26]
- Capacity additions in Poland and Spain plus bolt-on acquisitions expanding the international footprint [Cons]

Missing / Modified Data Log

- ROIC not explicitly disclosed; used ROE trajectory and the conservative balance sheet qualitatively.
- No formal management guidance issued; forward growth assessment based on industry tailwinds, tagged [Cons].
- Only 2 analysts tracked on MarketBeat; consensus target $275 is stale and sits below the current price.

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